EXECUTIVE SUMMARY

1. Introduction

Buguey was founded and created on May 20, 1623 as a town by virtue of Royal Decree issued by the King of Spain. The municipality is situated at the northern part of the Province of Cagayan. It is bounded on the north by the Babuyan Channel, on the south by the municipality of Lal-lo, on the east by the municipality of Sta. Teresita (former part of Buguey) and on the west by the municipality of Aparri.

A financial and compliance audit was conducted on the operations of the municipal government of Buguey, Cagayan for the year ended December 31, 2016. The audit was made in accordance with generally accepted and prescribed government auditing standards, and accordingly included such tests of accounting records and such other auditing procedures as we considered necessary under the circumstances. The audit consisted of review of operating procedures, processes and practices being done by the municipality, the books of accounts and subsidiary records and the reliability of the financial reports. Financial transactions, accounts and reports were examined to ascertain the extent of compliance with laws, rules and regulations and budgetary requirements with due regard to economy, efficiency and effectiveness of its operations.

2. Financial Highlights

The highlights of the financial condition, results of operation, appropriations, allotments and obligations of the Municipality of Buguey for the year ended December 31, 2016, with comparative figures for CY 2015, are as follows:

	2016	2015	Increase (Decrease)
Financial Condition			
Total Assets	P 151,396,394.95	P 118,363,586.19	P 33,032,808.76
Total Liabilities	67,760,474.54	39,392,765.76	28,367,708.78
Total Government Equity	83,635,920.41	78,970,820.43	4,665,099.98
Results of Operation			
Total Income	92,729,377.71	109,245,874.62	(16,516,496.91)
Total Expenses	85,314,257.02	99,593,249.21	(14,278,992.19)
Appropriations, Allotments and Obligations			
Appropriations – Current	111,001,233.74	133,866,849.74	(22,865,616.00)
Appropriations - Continuing	37,150,244.37	7,264,944.51	29,885,299.86
Allotments – Current	111,001,233.74	133,866,849.74	(22,865,616.00)
Allotments – Continuing	37,150,244.37	7,264,944.51	29,885,299.86
Obligations – Current	100,047,030.13	87,018,061.25	13,028,968.88
Obligations – Continuing	31,396,189.10	2,267,803.37	29,128,385.73

The table above shows that the Municipality's assets, liabilities and government equity as of December 31, 2016 were P151,396,394.95, P67,760,474.54 and P83,635,920.41. The assets and liabilities of the municipality increased/(decreased) by 28% and 72%, respectively, while the decrease in government equity is nominal from last year's figures.

On the other hand, income earned and expenses incurred during the year amounted to P92,729,377.71 and P85,314,257.02 which decreased by 15% and 14%, respectively, from last year's figures.

For the year 2016, the Municipality of Buguey appropriated the total amount of P111,001,233.74 of which P100,047,030.13 has been obligated as of year-end. Continuing appropriations for the year amounted to P37,150,244.37 which had a remaining balance of P5,754,055.27 as of year-end.

Comparative Statement of Fund Transfers to Other NGAs and LGUs are as follows:

	2016	2015	Increase (Decrease)
Funds Received from Other Agencies			
Due from LGUs	P 276,785.40	P 635,179.00	P (358,393.60)
TOTAL	**P276,785.40**	**P 635,179.00**	**P (358,393.60)**
Funds Transferred to Other Agencies:			
Due to NGAs	P 2,405,043.88	P 1,790,216.25	P 614,827.63
Due to GOCCs	2,441.20	2,441.20	-
Due to LGUs	4,417,788.14	5,285,707.70	(867,919.56)
TOTAL	**P 6,825,273.22**	**P 7,078,365.15**	**P (253,091.93)**

Funds received by the Municipality from Other Agencies amounted to P276,785.40 with a decrease of 56% from last year's figures. On the other hand, funds transferred to Other Agencies amounted to P6,825,273.22 with a decrease of only 4% from last year's figures.

3. Independent Auditor's Report on the Financial Statements

The Auditor rendered a qualified opinion on the financial statements of the Municipality of Buguey due to the effects of failure of the agency to conduct physical inventory of its *Property, Plant and Equipment* with net book value amounting to P93,009,507.78 as of year-end.

4. Significant Findings and Recommendations

Financial and Compliance Audit

a. Collections amounting to P453,694.89 were not deposited intact at the end of the year contrary with COA Circular No. 92-382 dated July 3, 1992 and

Section 32, Volume I of the Manual on the New Government Accounting System for Local Government Units.

We recommended that the Municipal Treasurer deposit intact all undeposited collections totalling P453,694.89 as of December 31, 2016 with its authorized depository bank pursuant to the aforementioned regulation and to avoid exposing the funds to the risk of possible loss, misapplication or misappropriation.

b. Cash advances totalling to P2,969,170.30 had remained unliquidated as of year-end due to the failure of concerned accountable officers and employees to settle their accountabilities and strictly enforce the rules and regulation on the granting, utilization and liquidation of cash advances as provided under pertinent provisions of Presidential Decree No. 1445 and COA Circular No. 97-002 dated February 10, 1997.

We recommended that management strictly enforce the rules and regulation on the granting, utilization and liquidation of cash advances. Require the Municipal not allow the grant of additional cash advance to officials and employees unless the previous cash advance had been first liquidated or a proper accounting thereof properly made.

Issue demand letters for the immediate liquidation of cash advances to those not active/employed in the municipality.

c. The Local Disaster Risk Reduction and Management Plan amounting to P4,483,479.60 did not include the goals and objectives of thematic areas, performance indicators and measures formulated by the National Disaster Risk Reduction and management Plan (NDRRMP).

We recommended management, thru the LDRRM Office, to revisit the LDRRMP and ensure that performance indicators and measures are specific, measurable, achievable relevant and time bounded to facilitate assessment of the progress toward the achievement of the outcomes, objectives and goals.

The LDRRMO is advised to closely monitor the programs/activities of LDRRMP to ensure timely and proper implementation thereof. Also, the approved LDRRMP as well as the LDRRMFIP be submitted to the OCD for review and evaluation.

d. The annual GAD Plan and Budget (GPB) amounting to P4,481,479.00 was not reviewed and approved by the DILG Regional Office as provided under PCW-DILG-DBM-NEDA Joint Memorandum Circular No. 2013-01, thus, identified programs, projects and activities cannot be ascertained whether it is responsive with the gender issues and concerns of the locality.

We recommended management to comply with the provisions of PCW-DILG-NEDA-DBM Joint Circular No. 2013-01 dated July 18, 2013 on the preparation, review and approval of GAD Plan and Budget. The GAD Focal Person is advised to monitor and evaluate the implementation of programs and activities of the approved GPB.

e. The Municipality was not able to completely implement and deliver ten (10) out of eighteen (18) identified programs, projects and activities (PPAs) under the 20% development fund deprived the intended beneficiaries of the timely utilization thereof, hence the socio – economic benefits were not achieved and optimized.

We recommended for management to fast tract the implementation of all on – going and not yet started programmed and funded projects under the 20% Development Fund to optimize utilization thereof and timely brings the desired benefits to the intended beneficiaries.

f. Procurement of infrastructure projects and goods amounting to P3,432,132.00 were not supported with required supporting documents in violation of Section 4(5) and (6) of PD 1445 and COA Circular No. 2012-01 dated June 14, 2012, thus casting doubt on the validity, propriety and legality of the transactions.

We recommended that the Municipal Accountant ensures that the supporting documents are complete before effecting payment to prove the validity, propriety and legality of the claim pursuant to existing law, rules and regulations. Moreover, she must submit the lacking documents and to comply with the other deficiencies noted to avoid audit suspension/disallowance of the transactions.

g. Disbursements amounting to P2,939,017.93 were not supported with required supporting documents in violation of Section 4(5) and (6) of PD 1445 and COA Circular No. 2012-01 dated June 14, 2012, thus casting doubt on the regularity and validity of the transactions.

We recommended that Municipal Accountant ensures that the supporting documents of the disbursement vouchers are complete before effecting payment to prove the regularity and validity of the claim pursuant to existing law, rules and regulations. Moreover, she must submit the lacking documents and comply with the other deficiencies noted to avoid audit suspension/disallowance of the transactions.

h. The validity, existence and correctness of the Property, Plant and Equipment accounts with net book value amounting to P93,009,507.78 as of December 31, 2016 could not be ascertained due to failure of the agency to conduct

annual physical inventory of properties as of year-end which is contrary to Section 156 of COA Circular No. 92-386.

We recommended that the Local Chief Executive create a committee to conduct physical inventory of the properties of the municipality and to prepare a report thereon to be submitted to the Municipal Accountant for reconciliation with that of the accounting records, pursuant to the provisions of Section 156 of COA Circular No. 92-386 dated October 20, 1992.

5. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issuances	Settlements	Ending Balance	% of Settlement
Suspensions					
Prior Years	64,800.00	-	64,800.00	-	100%
Current Year	-	1,577,027.72	22,600.00	1,554,427.72	1%
Total					
Disallowances					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	-	-	-	-	
Charges					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	-	-	-	-	

6. Status of Implementation of Prior Year's Audit Recommendations

Out of 10 audit recommendations embodied in the 2015 Annual Audit Report, three (3) were fully implemented, one (1) was partially implemented and six (6) were not implemented as of December 31, 2016.